

POSITIONAL TRADING STRATEGY

This is a pure **price action trading strategy** meaning we are not going to use any technical indicators.



~~Technicals~~

Change interval ⓘ

1 D

1 day

You can use this strategy for long term investment. It goes without saying that the timeframe we will be using is a daily timeframe. Let's get into the interesting part of the chapter now.

First of all, for this strategy, we will be looking to buy stocks which have given a good rally of 15-20% at least. Remember that this is a non-negotiable condition of this strategy. After finding such stocks, this is what happens **-when a stock rallies for more than 15-20% in a stretch, it needs to consolidate a bit before continuing.**

Our aim is to find stocks which have given a rally before and are currently consolidating in a range. This is where as a trader you have to be patient and wait for the stock to break the range of its consolidation.

Other two conditions for this strategy are:

LearnZebra published on TradingView.com, Dec 02, 2023 14:16 UTC+5:30

BSE LTD, 1D, NSE O2500.00 H2575.00 L2475.10 C2498.65 +21.70 (+0.88%)
Vol 1.87M



TradingView



When the stock is in a range, the volume must dry down within that period.



When the stock breaks from that consolidation, its volume should rise up drastically and the stock should break the range with a huge green candle.

